



Copyright and Fair Use

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Copyright Law: 17 U.S. Code §102

“**original works of authorship** fixed in any **tangible medium** of expression [...] from which they can be perceived, reproduced, or otherwise **communicated**”

does not include “any idea, procedure, process, system, method of operation, concept, principle, or discovery”

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Copyright Law: 17 U.S. Code §106

“The owner of copyright ... has the exclusive rights to do and to authorize...

- (1) to reproduce the copyrighted work ... ;
- (2) to prepare derivative works ... ;
- (3) to distribute copies ... by sale or other transfer of ownership, or by rental, lease, or lending;
- (4) ... [for some works] to perform the copyrighted work publicly;
- (5) ... [for some works] to display the copyrighted work publicly; and
- (6) ... [for audio works] to perform the copyrighted work publicly”

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Fair Use: 17 U.S. Code §102

Key exception: Fair use

“(1) the **purpose and character** of the use, including whether such use is of a commercial nature or is for nonprofit educational purposes;

(2) the **nature** of the copyrighted work;

(3) the **amount and substantiality** of the portion used in relation to the copyrighted work as a whole; and

(4) the effect of the use upon the **potential market for or value of** the copyrighted work.”

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Fair Use: 17 U.S. Code §102

4 factors to be considered (do not need to satisfy all four, and none is overriding):

1. Type of use → often referred to as “transformative use factor”
2. Type of work → where it falls on the “creativity” spectrum (factual works receive less protection)
3. What was copied (how much + how important)
4. Effect on market (substitution)

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Bartz v. Anthropic c (2025)

- 3 authors sued Anthropic for copyright infringement
- Anthropic had burden of proof (presumption is usually that there has been copyright infringement, so then it comes to proving fair use)
- Judge: William Alsup (CA, northern district)



Some background

In 2021, Anthropic first pirated books

In 2024, Anthropic started gathering books by buying used copied and scanning them

Plaintiff claims two uses: (1) creating a research library, (2) training LLMs on increasingly selective works

Over time, Anthropic came to value most highly for its data mixes books like the ones Authors had written, and it valued them because of the creative expressions they contained. Claude's customers wanted Claude to write as accurately and as compellingly as Authors. So, it was best to train the LLMs underlying Claude on works just like the ones Authors had written, with well-curated facts, well-organized analyses, and captivating fictional narratives — above all with “good writing” of the kind “an editor would approve of” (Opp. Exh. 3 at -03433). Anthropic could have trained its LLMs without using such books or any books at all. That would have required spending more on, say, staff writers to create competing exemplars of good writing, engineers to revise bad exemplars into better ones, energy bills to power more rounds of training and fine-tuning, and so on. Having canonical texts to draw upon helped (e.g., Opp. Expert Zhao ¶ 81).

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Summary judgment

Anthropic chose early motion for summary judgment (on fair use)

→ this is pre-trial

→ summary judgment forces decision on facts only, with inferences favoring the opposing side

To summarize the analysis that now follows, the use of the books at issue to train Claude and its precursors was exceedingly transformative and was a fair use under Section 107 of the Copyright Act. And, the digitization of the books purchased in print form by Anthropic was also a fair use but not for the same reason as applies to the training copies. Instead, it was a fair use because all Anthropic did was replace the print copies it had purchased for its central library with more convenient space-saving and searchable digital copies for its central library — without adding new copies, creating new works, or redistributing existing copies. However, Anthropic had no entitlement to use pirated copies for its central library. Creating a permanent, general-purpose library was not itself a fair use excusing Anthropic's piracy.

Use 1: Training LLMs

Training LLMs was fair use

- Factor 1: "Quintessentially transformative"

Google, 804 F.2d at 222. Here, if the outputs seen by users had been infringing, Authors would have a different case. And, if the outputs were ever to become infringing, Authors could bring such a case. But that is not this case.

Instead, Authors challenge only the inputs, not the outputs, of these LLMs. They point to



Use 1: Training LLMs

Training LLMs was fair use

- Factor 1: "Quintessentially transformative"
- Factor 2: Nature of secondary use was not close to intended copyright protection
- Factor 3: Substantial copying was "reasonably necessary" for transformative use
- Factor 4: Court unequivocally said that Claude isn't competitor to Authors



Use 2a: Library (Purchased Works)

Creating the library **was fair use**

- Just a conversion to digital formats
- Physical copies were destroyed, so no change in net number of copies
- Internal library — no substitution



Use 2b: Library (pirated works)

Using pirated works for the library was **copyright infringement**

- Library was an actual use, not just LLM training
- Works kept even after rejected for training Claude
- Creates “substitution effect” since you pirated instead of purchased



Weird stuff

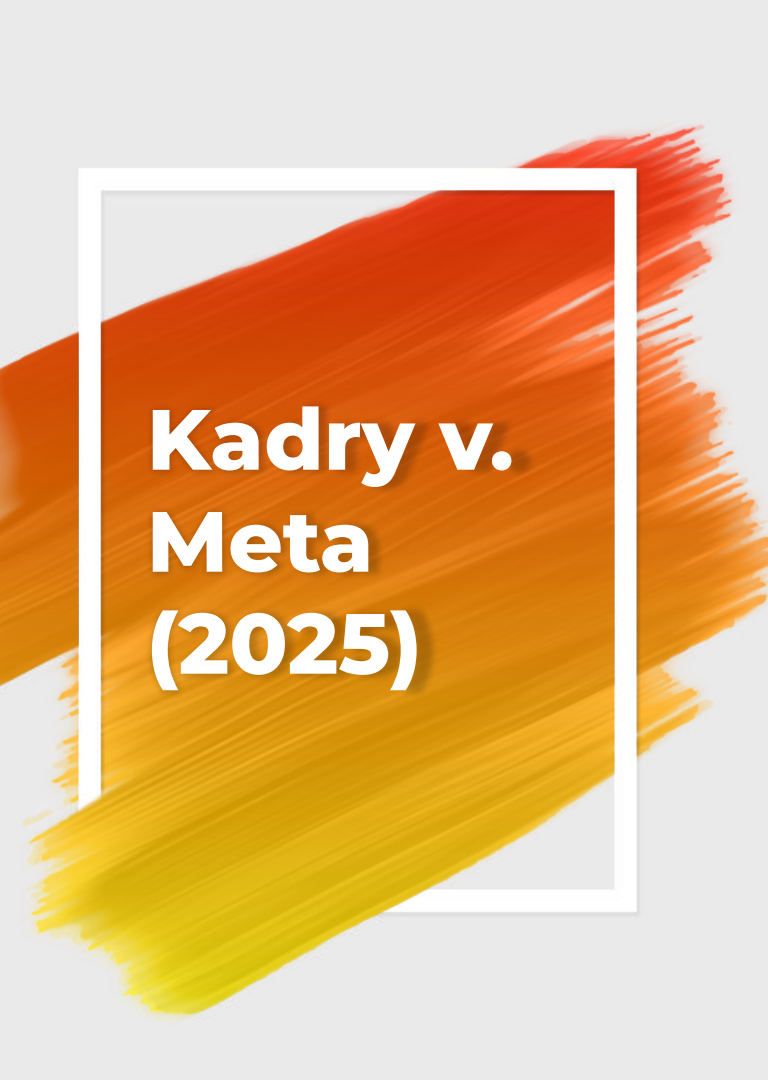
Judge makes the point that Anthropic behaved suspiciously during trial, making circular and contradictory arguments

1. Anthropic argued its copies were justified
2. Then said they did not retain pirated copies because that would not be fair use
3. Then argued providing information on copies would be overbroad
4. Then argued it would be too hard to trace
5. But Anthropic **had** provided a spreadsheet earlier contradicting this statement
6. Though Anthropic suspiciously removed access to that sheet later during discovery



Conclusion

- Anthropic's use of pirated copies for a digital library will go to trial
- Precedent only for the district court, but may be used elsewhere



Kadry v. Meta (2025)

- 13 authors sued Meta for copyright infringement while training its LLM
- Judge: Vince Chhabria (CA northern district)
- Judge rejected authors' arguments (LLM would reproduce authors' works and the use displaces a market to license works for AI training)

But...

“copying the protected works, however transformative, involves the creation of a product with the ability to severely harm the market for the works being copied, and thus severely undermine the incentive for human beings to create. Under the fair use doctrine, **harm to the market for the copyrighted work is more important than the purpose for which the copies are made**”



Two opposing views...

Alsup

- LLM training is analogous to teaching
- Copyright doesn't prevent any use that can create competition

Chhabria

- Training LLMs different from teaching
- Transformative purpose can be outweighed by other factors (ex. Harm to market)



Discussion Questions

1. To what extent is AI **displacing** (human-made) copyrighted works?
2. Can **artistic style** be copyrighted?
Can AI imitate an artist's style?
3. Given these rulings, will a **market** be created to license artistic works for LLM training?
4. Should users or companies be able to copyright AI-generated works?



References

17 U.S. Code § 102 (Subject matter of copyright: In general). Accessed 20 May 2026, <https://www.law.cornell.edu/uscode/text/17/102>.

17 U.S. Code § 107 (Limitations on exclusive rights: Fair use). Accessed 20 May 2026, <https://www.law.cornell.edu/uscode/text/17/107>.

Bartz v. Anthropic PBC, 3:24-cv-05417, (N.D. Cal. Jun 23, 2025) ECF No. 231.

Kadrey v. Meta Platforms, Inc., 3:23-cv-03417, (N.D. Cal. Jun 25, 2025) ECF No. 598.